

Prices of staples like salt, tea, milk, and other goods have risen in recent months as companies scale to protect margins

FMCG'S MARGIN SQUEEZE

Resilient demand is lifting FMCG sales, but rising input costs and inflationary pressures are squeezing margins. Price hikes offer only partial relief as analysts warn of slower growth in the second half

BY **NACHIKET KELKAR**

INDIA'S FAST-MOVING consumer goods (FMCG) companies are finding that selling more does not necessarily mean earning more. Stronger volumes, a favourable base effect and GST cuts are lifting sales at Hindustan Unilever, Tata Consumer Products, Godrej Consumer Products and Nestlé India. But rising input costs and inflationary pressures are squeezing margins, prompting companies to raise prices and step up cost-saving efforts. The coming quarters will test whether pricing power and operational efficiencies can protect profitability without dampening demand.

Hindustan Unilever Ltd (HUL), India's largest FMCG maker, illustrates the squeeze. Revenue rose 15% in the July-September quarter, its fastest growth in 14 quarters, but standalone net

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